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Entrusted Loans: A Close Look at China's Shadow Banking System

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1 Big picture

- **Question.** What does entrusted lending in China’s shadow-banking system actually do? The paper asks who lends, who borrows, how these loans are priced, how risky they are, and whether they create or destroy value for lending firms’ shareholders.
- **Setting.** China, 2004–2013, using transaction-level entrusted loans made by listed nonfinancial firms. An entrusted loan is a loan from one nonbank firm to another, with a bank acting only as the servicing agent and not bearing the credit risk.
- **Core empirical object.** The paper separates *affiliated* loans (parent-subsidiary, supplier-customer, or business-partner relationships) from *nonaffiliated* loans (arms-length lending). This split is the central organizing idea of the paper.
- **Main result.** Entrusted loans let privileged firms with cheap access to formal finance channel funds to less privileged firms. Nonaffiliated loans charge market rates that are far above official bank loan rates and are heavily concentrated in real estate and construction. Affiliated loans look more like internal capital-market support transactions.
- **Pricing result.** Nonaffiliated loans are priced in a strongly risk-based way: rates are higher for borrowers in riskier industries and lower when lender and borrower are in the same city or same industry. Affiliated loans also reflect risk, but much more weakly.
- **Value result.** Stock-market evidence suggests both loan types are fairly compensated investments on average. The negative stock-price reaction for nonaffiliated loans is concentrated in the *first* such announcement by a firm, which the authors interpret as revealing weak investment opportunities in the lender’s core business rather than showing that the loans themselves are negative-NPV projects.
- **Economic interpretation.** The paper is fundamentally about a distorted official credit market. Official bank rates are too low and access is rationed, so large listed firms and especially large SOE s become shadow intermediaries.
- **Why this paper matters.** The contribution is not just “shadow banking is big.” It is that contract-level evidence can distinguish between support lending and profit-seeking shadow intermediation, and that this distinction matters for pricing, risk, and regulation.

2 Data and measurement (key objects)

2.1 How the data are built

- **Core source.** Listed firms in China are required by the CSRC to disclose entrusted loans in audited annual reports. This mandatory disclosure is what makes the transaction-level dataset feasible.
- **Collection method.** The authors search all annual reports of listed nonfinancial firms from 2004–2013 for the term “entrusted loan,” read the surrounding text, and identify new loans by comparing each annual report to the previous year’s report.
- **Interim announcements.** Public announcements are used to cross-check annual-report entries, fill in missing details, and obtain announcement dates for event-study tests.

- **Why Appendix A matters.** The appendix shows concrete examples of how the authors distinguish new loans from carried-over loans, classify affiliation status, and recover missing variables from different parts of annual reports. For this paper, the appendix is part of the identification story because the hand collection is essential.

2.2 Sample

- **Loan sample.** The full sample contains 2,995 entrusted loans made by 498 listed firms, corresponding to 1,107 firm-years.
- **Universe for firm-year comparisons.** The listed nonfinancial universe contains 2,467 unique firms and 18,001 firm-years over 2004–2013.
- **Usable loan-level sample.** For 2,960 loans, the borrower and main contract characteristics can be identified.
- **Loan-type composition.** Affiliated loans account for about 80% of loan count and about 93% of total loan amount.
- **Growth over time.** Total entrusted-lending volume rises from 12.6 billion RMB in 2004 to 219.2 billion RMB in 2013, so the sample captures the rapid rise of this shadow-banking segment.

2.3 Borrowers and lenders

- **Lender data.** Lender accounting and return data come from the Wind database.
- **Borrower data.** Because about 99% of borrowers are private firms, borrower information is limited. The authors collect borrower industry, headquarters location, and SOE status from lender disclosures and manual searches.
- **Typical borrower.** In the subsample with borrower asset values, the median borrower has assets of about 0.4 billion RMB, versus about 4 billion RMB for lenders. The representative borrower is a medium-size private firm.

2.4 Key variable construction

The paper’s main interest-rate variable is:

$$\text{AdjustedRate}_\ell = \text{LoanRate}_\ell - \text{OfficialBankLoanRate}_\ell, \quad (1)$$

where the official bank rate is matched by maturity.

- **Interpretation.** This measures how far entrusted-loan pricing sits above or below the regulated formal-sector benchmark.
- **Key empirical fact.** Mean adjusted rate is about 0.3 percentage points for affiliated loans and 7.9 percentage points for nonaffiliated loans.

The paper’s ex post loan-performance indicator is:

$$\text{Problem}_\ell = 1\{\text{loan is delinquent, overdue, or extended}\}. \quad (2)$$

- **Interpretation.** This is the paper’s clean ex post test of whether ex ante pricing really reflects risk.

Other central covariates are:

- **Fundamental-risk proxies.** Borrower-industry return volatility, borrower-industry sales-growth dispersion, real-estate/construction borrower, and borrower SOE status.
- **Informational-risk proxies.** Same-city and same-industry indicators between lender and borrower.
- **Value-creation measure.** Announcement-window CAR s around interim entrusted-loan announcements.

3 Models and empirical specifications (all equations + interpretation)

3.1 Funding-cost comparison

To compare what lenders pay for capital with what they charge borrowers, the paper constructs:

$$\text{AdjustedBondCost}_{i,t} = \text{BondYield}_{i,t} - \text{OfficialBankLoanRate}_t, \quad (3)$$

and then the loan-level spread over the lender’s own funding cost:

$$\text{Spread}_{\ell,i,t} = \text{AdjustedRate}_{\ell} - \text{AdjustedBondCost}_{i,t}. \quad (4)$$

- **Interpretation.** This is a simple but powerful measurement exercise: do lenders merely pass through their own funding cost, or do they earn a markup?
- **Main conclusion.** Affiliated loans carry only a small spread over the lender’s borrowing cost, while nonaffiliated loans carry a very large spread.

3.2 Who makes entrusted loans?

At the firm-year level, the paper estimates extensive- and intensive-margin lending equations of the form

$$\begin{aligned} L_{i,t} = & \alpha + \beta_1 \ln(\text{Assets}_{i,t-1}) + \beta_2 \text{ROA}_{i,t-1} + \beta_3 \text{SalesGrowth}_{i,t-1} + \beta_4 \ln(\text{Age}_{i,t}) \\ & + \beta_5 Q_{i,t-1} + \beta_6 \text{Debt}/\text{Assets}_{i,t-1} + \beta_7 \Delta \text{Debt}_{i,t-1} + \beta_8 \text{Cash}/\text{Assets}_{i,t-1} \\ & + \beta_9 \text{SOE}_i + \gamma_s + \delta_t + \varepsilon_{i,t}. \end{aligned} \quad (5)$$

- **Dependent variable.** $L_{i,t}$ is either a loan dummy (estimated by logit) or loan amount divided by assets (estimated by Tobit).
- **Samples.** The paper estimates the equation for all entrusted lending, and separately for firm-years with nonaffiliated lending and with affiliated lending.
- **Credit-tightness specification.** In an alternative version, year fixed effects are replaced by aggregate SHIBOR to see whether lending rises when economy-wide credit tightens.

- **Interpretation.** This is a reduced-form characterization of which listed firms become shadow intermediaries.

3.3 Pricing of entrusted loans

At the loan level, the paper estimates separate regressions for affiliated and nonaffiliated loans:

$$\begin{aligned} \text{AdjustedRate}_\ell = & \alpha + \beta_1 \text{Maturity}_\ell + \beta_2 \text{CollateralOrGuarantee}_\ell + \beta_3 \text{SameCity}_\ell + \beta_4 \text{SameIndustry}_\ell \\ & + \beta_5 \text{BorrowerRisk}_\ell + \beta_6 \text{SOEBorrower}_\ell + \beta_7 Z_\ell^{\text{lender}} + \gamma_s + \delta_t + \varepsilon_\ell. \end{aligned} \quad (6)$$

For affiliated loans, the specification also includes ownership share and trade-relationship indicators.

- **Dependent variable.** Adjusted interest rate, i.e., the contractual loan rate net of the official bank lending rate.
- **Borrower risk.** The paper rotates among three risk measures: high industry return volatility, high industry sales-growth dispersion, and a real-estate/construction borrower dummy.
- **Interpretation.** Positive coefficients on borrower-risk variables mean the loan price incorporates fundamental risk. Negative coefficients on same-city and same-industry variables mean prices incorporate informational proximity.

3.4 Does ex ante price predict ex post performance?

The paper then asks whether higher rates predict future repayment problems:

$$\Pr(\text{Problem}_\ell = 1) = \Lambda(\alpha + \beta \text{AdjustedRate}_\ell + \theta X_\ell + \gamma_s + \delta_t), \quad (7)$$

where $\Lambda(\cdot)$ is the logistic link.

- **Interpretation.** If $\beta > 0$, then loans with higher ex ante rates are more likely to become delinquent, overdue, or extended later on.
- **Economic meaning.** This is the paper's tightest pricing-efficiency test. It links contract pricing directly to ex post outcomes rather than only to observable borrower characteristics.

3.5 Market-model event study and wealth effects

The announcement-return exercise starts from the usual market model:

$$AR_{i,\tau} = R_{i,\tau} - (\hat{\alpha}_i + \hat{\beta}_i R_{m,\tau}), \quad (8)$$

with

$$\text{CAR}_i[a, b] = \sum_{\tau=a}^b AR_{i,\tau}, \quad (9)$$

estimated using trading days $[-150, -10]$ as the market-model estimation window.

The cross-sectional announcement-return regression is:

$$\begin{aligned} \text{CAR}_\ell = & \alpha + \beta_1 \text{FirstAnnouncement}_\ell + \beta_2 \ln(\text{LoanAmount}_\ell) \\ & + \beta_3 \text{AdjustedRate}_\ell + \beta_4 \text{Maturity}_\ell + \beta_5 \text{CollateralOrGuarantee}_\ell + \varepsilon_\ell. \end{aligned} \quad (10)$$

- **Interpretation.** The coefficient on first announcement is crucial because it separates information revelation from the value of the loan contract itself.
- **Reading of the sign.** A negative first-announcement coefficient means the market learns something bad about the lender when entrusted lending is first revealed.

3.6 Announcement-selection correction

Because not all entrusted loans receive interim public announcements, the paper estimates a Heckman selection equation:

$$\begin{aligned} \text{Announce}_\ell^* = & \alpha + \beta_1 \ln(\text{LoanAmount}_\ell) + \beta_2 \ln(\text{Assets}_i) + \beta_3 \text{ROA}_i \\ & + \beta_4 \text{Debt}/\text{Assets}_i + \beta_5 \text{SOELender}_i + u_\ell. \end{aligned} \quad (11)$$

with observed announcement dummy

$$\text{Announce}_\ell = 1 \{ \text{Announce}_\ell^* > 0 \}. \quad (12)$$

- **Interpretation.** Bigger loans and smaller firms are more likely to announce. The second-stage event-study regression therefore corrects for possible selection into the announcement sample.

4 Identification and instruments (what makes the estimates credible)

4.1 What makes the evidence persuasive

- **Direct contract-level measurement.** The strongest feature of the paper is the transaction-level dataset. Rather than inferring shadow-banking activity indirectly, the authors observe actual loan amounts, rates, maturities, borrower industry, geography, and repayment problems.
- **Mandatory disclosure.** Because listed firms must disclose entrusted loans in annual reports, the core data are less vulnerable to casual underreporting than purely voluntary disclosures would be.
- **Separate treatment of affiliated and nonaffiliated loans.** This is essential. Pooling the two loan types would blur together internal capital-market support and arms-length credit intermediation.
- **Ex ante / ex post validation.** The pricing-efficiency analysis is especially convincing because it does not stop at observable risk correlates. It checks whether higher loan rates also predict later repayment trouble.
- **Selection correction in event studies.** Because not every loan is separately announced, the paper explicitly models the likelihood of being announced before interpreting CAR s.

- **Trustee robustness.** The paper also controls for whether the servicing agent is a big-five bank, another bank, or a nonbank financial firm and shows the main pricing and performance results do not hinge on trustee type.

4.2 What the paper does *not* have

- **No clean external instrument for entrusted-lending participation.** The firm-year lending regressions are descriptive and conditional, not a natural-experiment design.
- **Limited borrower balance-sheet data.** Since almost all borrowers are private firms, the paper cannot control for the full set of borrower financial characteristics the way a bank-loan paper sometimes can.
- **How to read the evidence.** The paper is strongest as a micro-founded institutional and pricing study. Its credibility comes from many mutually reinforcing facts rather than from a single sharp causal design.

4.3 Why the regulatory argument is still credible

- **Lender balance sheets.** Entrusted-loan lenders are large, well-capitalized listed firms. Their median debt-to-assets ratio is about 20%, their median liabilities-to-assets ratio about 51%, and their median current ratio about 132%, all much safer than listed banks.
- **Interpretation.** When risky borrowers get funded through entrusted loans rather than directly through bank balance sheets, some risk is shifted onto firms with thicker equity buffers. That is why the paper argues entrusted lending can, in this particular setting, reduce rather than increase systemic risk.

5 Tables and figures

5.1 Table 1: Entrusted loans over time

Read:

- The raw time trend is dramatic: the number of lending firms rises from 55 in 2004 to 220 in 2013, loan count rises from 116 to 675, and total amount rises from 12.6 to 219.2 billion RMB.
- This table establishes that entrusted lending is not a niche phenomenon inside the listed-firm sector.
- Because the sample includes only loans made by listed firms, the table likely understates total entrusted-lending activity in the whole economy.

5.2 Table 2: Summary statistics for lenders

Read:

- Lenders are much larger than nonlenders. Affiliated lenders average 21.0 billion RMB in assets and nonaffiliated lenders 10.6 billion, versus 5.8 billion for nonlenders.

Table 1

Entrusted loans over time.

Characteristic	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	Total
Number of firms that make entrusted loans	55	51	53	65	99	95	116	176	177	220	1107
Number of entrusted loans	116	98	102	151	209	208	280	530	626	675	2995
Aggregate loan amount (billions of RMB)	12.6	9.3	12.6	23.6	38.2	32.5	41.1	100.5	202.2	219.2	691.8

Table 2

Summary statistics.

The sample contains the 18,001 firm-year observations for all the listed nonfinancial Chinese firms during the period 2004–2013. Variable definitions are in [Appendix B](#). All renminbi RMB values are adjusted to constant year 2013 RMBs. Continuous variables are winsorized at 1% and 99%. We use t-test for differences in means. ***, **, and * denote the difference is significant at the 1%, 5%, and 10% level, respectively.

Variable	Loan dummy = 0 (N = 16,894) (1)	Loan dummy = 1 (N = 1107) (2)	Nonaffiliated loan (N = 289) (3)	Affiliated loan (N = 800) (4)	(2)–(1)	(3)–(1)	(4)–(1)	(4)–(3)
Assets (billions of RMB)	5.8	18.1	10.6	21.0	12.3***	4.8***	15.2***	10.4***
ROA (%)	6.9	7.6	7.4	7.6	0.7***	0.5	0.7**	0.2
Sales growth (%)	23.6	24.4	18.0	26.5	0.8	–5.6*	2.9	8.5**
Firm age	8.1	9.8	9.5	9.9	1.7***	1.4***	1.8***	0.4
Tobin's q	1.8	1.6	1.7	1.6	–0.2***	–0.1	–0.2***	–0.1
Debt/assets (%)	20.7	21.6	16.7	23.5	0.9*	–4.0***	2.8***	6.8***
Change of debt (%)	4.0	7.8	5.0	8.7	3.8***	1.0	4.7***	3.7***
Cash/assets (%)	19.4	18.4	21.4	17.2	–1.0**	2.0**	–2.2***	–4.2***
SOE lender (%)	54.6	73.8	56.7	79.9	19.2***	2.1	25.3***	23.2***
Real estate lender (%)	8.4	10.4	7.3	11.8	2.0**	–1.1	3.4***	4.5**

- Affiliated lenders look like privileged support providers: they have higher ROA, more recent debt issuance, and are much more likely to be SOE s (79.9%).
- Nonaffiliated lenders look like cash-rich firms with weak core opportunities: lower sales growth, lower leverage, and higher cash holdings than nonlenders.
- This is the first place the paper’s “support motive” versus “alternative investment motive” distinction becomes visible.

5.3 Table 3: Determinants of loan decisions

Read:

- Size is the universal predictor: larger firms are more likely to lend and lend larger amounts.
- Affiliated lending is associated with higher profitability, more recent debt issuance, and SOE status. That fits the interpretation of strong firms supporting affiliated parties.
- Nonaffiliated lending is associated with low sales growth, low leverage, and more cash. That fits the interpretation of firms using entrusted loans as a profit-seeking outlet for idle resources.
- When SHIBOR is included, its coefficient is positive. Entrusted lending increases when aggregate credit is tight, which is exactly what a shadow-intermediation story predicts.

Table 3

Determinants of loan decisions.

The sample contains the 18,001 firm-years observations for all the listed nonfinancial Chinese firms during the period 2004–2013. We run logit regressions using *Loan dummy* as the dependent variable, and we run Tobit regressions using *Loan amount/assets (%)* as the dependent variable. Variable definitions are in [Appendix B](#). Financial variables are winsorized at 1% and 99%. p-values are based on standard errors double-clustered by firm and year. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

Variable	Logit regression: <i>Loan dummy</i>			Tobit regression: <i>Loan amount/assets (%)</i>		
	All firm-years (1)	Firm-years with nonaffiliated loans and without entrusted loans (2)	Firm-years with affiliated loans and without entrusted loans (3)	All firm-years (4)	Firm-years with nonaffiliated loans and without entrusted loans (5)	Firm-years with affiliated loans and without entrusted loans (6)
Panel A: Regressions with year fixed effects						
Intercept	0.48 (0.00)***	0.38 (0.00)***	0.49 (0.00)***	2.62 (0.00)***	3.09 (0.00)***	3.09 (0.00)***
ROA (%)	0.01 (0.12)	0.007 (0.60)	0.013 (0.05)**	0.08 (0.00)***	0.07 (0.20)	0.08 (0.00)***
Sales growth (%)	–0.001 (0.03)**	–0.004 (0.01)***	–0.001 (0.20)	–0.02 (0.02)**	–0.03 (0.00)***	–0.01 (0.25)
Ln(Firm age)	0.20 (0.03)**	0.33 (0.06)*	0.13 (0.18)	1.79 (0.00)***	2.77 (0.00)***	1.02 (0.06)*
Tobin's q	–0.02 (0.63)	–0.08 (0.25)	–0.01 (0.85)	0.01 (0.92)	–0.49 (0.16)	0.20 (0.00)***
Debt/assets (%)	–0.01 (0.12)	–0.02 (0.00)***	–0.001 (0.86)	–0.07 (0.00)***	–0.16 (0.00)***	–0.02 (0.31)
Change of debt (%)	0.01 (0.00)***	0.005 (0.14)	0.01 (0.00)***	0.09 (0.00)***	0.05 (0.14)	0.08 (0.00)***
Cash/assets (%)	0.006 (0.24)	0.004 (0.58)	0.005 (0.32)	0.06 (0.00)***	0.06 (0.02)**	0.02 (0.18)
SOE lender	0.37 (0.01)***	–0.30 (0.20)	0.69 (0.00)***	2.27 (0.01)***	–2.49 (0.09)*	3.86 (0.00)***
Year fixed effect	Yes	Yes	Yes	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes	Yes	Yes	Yes
N	18,001	17,183	17,694	18,001	17,183	17,694
Pseudo R ²	0.11	0.09	0.14	0.05	0.06	0.07
Panel B: Regressions including Shibo						
Intercept	0.50 (0.00)***	0.40 (0.00)***	0.52 (0.00)***	3.27 (0.00)***	2.79 (0.00)***	3.23 (0.00)***
Shibo (%)	0.25 (0.00)***	0.30 (0.00)***	0.24 (0.00)***	1.91 (0.00)***	2.37 (0.00)***	1.87 (0.00)***
ROA (%)	0.01 (0.09)	0.006 (0.64)	0.014 (0.03)**	0.09 (0.00)***	0.06 (0.20)	0.09 (0.00)***
Sales growth (%)	–0.002 (0.01)***	–0.004 (0.01)***	–0.001 (0.10)**	–0.02 (0.01)***	–0.03 (0.00)***	–0.01 (0.21)
Ln(Firm age)	0.23 (0.01)***	0.35 (0.04)**	0.18 (0.08)*	2.02 (0.00)***	2.94 (0.00)***	1.24 (0.02)**
Tobin's q	–0.004 (0.91)	–0.06 (0.32)	0.02 (0.73)	0.14 (0.68)	–0.36 (0.22)	0.35 (0.34)
Debt/assets (%)	–0.01 (0.11)	–0.02 (0.00)***	–0.001 (0.87)	–0.07 (0.00)***	–0.17 (0.00)***	–0.02 (0.32)
Change of debt (%)	0.01 (0.00)***	0.005 (0.11)	0.01 (0.00)***	0.09 (0.00)***	0.05 (0.13)	0.08 (0.00)***
Cash/assets (%)	0.007 (0.18)	0.005 (0.51)	0.007 (0.23)	0.06 (0.00)***	0.06 (0.01)***	0.03 (0.09)*
SOE lender	0.33 (0.01)***	–0.35 (0.12)	0.64 (0.00)***	1.90 (0.02)**	–2.96 (0.04)**	3.56 (0.00)***
Year fixed effect	Yes	Yes	Yes	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes	Yes	Yes	Yes
N	18,001	17,183	17,694	18,001	17,183	17,694
Pseudo R ²	0.11	0.09	0.14	0.05	0.05	0.07

Table 4

Interest rates.

This table reports the average interest rate for nonaffiliated and affiliated loans, and by industry.

Industry of the borrower	Nonaffiliated loans			Affiliated loans		
	N	Interest rate(%)	Adjusted interest rate (%)	N	Interest rate(%)	Adjusted interest rate (%)
All sample	587	13.9	7.9	2373	6.4	0.3
Agriculture	5	11.2	5.4	9	7.4	1.3
Auto and auto parts	3	9.4	3.0	211	5.2	–0.8
Building materials	11	10.1	4.4	50	6.0	0.2
Chemicals	14	10.5	4.5	173	5.8	–0.2
Coal and mining	5	9.2	3.3	155	6.3	0.1
Commerce	39	13.4	7.5	20	6.5	0.4
Conglomerate	88	12.5	6.6	18	7.8	1.7
Culture and media	7	9.5	3.6	1	6.2	0.0
Education, finance, and others	15	11.0	5.1	7	7.3	1.3
Electrical household appliances	12	14.8	8.8	32	6.5	0.4
Electronics and information technology	11	12.9	6.8	80	6.3	0.2
Food	9	15.7	9.7	154	5.5	–0.6
Hotel and tourism	23	15.9	9.9	31	5.1	–1.2
Machinery	9	12.2	6.5	148	5.8	–0.2
Nonferrous metal	1	–	–	24	5.9	0.1
Other light industry	9	11.6	5.6	4	7.1	0.9
Paper and printing	5	16.1	10.3	55	5.5	–0.6
Pharmacy	9	12.4	6.5	127	6.4	0.3
Real estate and construction	269	9.5	3.6	364	3.0	–0.9
Steel	8	11.8	5.8	27	5.9	–0.0
Transportation	26	11.4	5.4	230	5.6	–0.4
Textile and garment	2	6.9	1.2	68	5.9	–0.1
Utility	7	11.1	5.0	385	6.0	–0.1

Table 5
Cost of borrowing for firms that make entrusted loans.
The bond issuance data are from Chinese database WIND. Panel A reports the adjusted cost of bonds (benchmarked against the official bank loan rate). Panel B compares these firms' cost of borrowing versus the rate they charge on the entrusted loans they make. *** denotes significance at the 1% level. SOE = state-owned enterprise.

Panel A: Lender's adjusted cost of bond (%) = Lender's cost of bond (%) – Official bank loan rate (%)							
Firm sample	N	Mean	STD	25th perc	Median	75th perc	
All sample	244	-1.34***	1.34	-2.02	-1.42***	-0.53	
SOE lender	193	-1.52***	1.28	-2.07	-1.55***	-0.81	
Non-SOE lender	51	-0.54***	1.31	-1.43	-0.50***	0.00	
SOE versus non-SOE		-0.88***			-1.05***		

Panel B: Interest rate difference (%) = Adjusted interest rate of entrusted loan (%) – Lender's adjusted cost of bond (%)							
Loan sample	SOE lender			Non-SOE lender			SOE versus non-SOE
	N	Mean	Median	N	Mean	Median	Mean Median
Affiliated loan	698	1.78***	1.60***	154	1.60***	1.24***	0.18 0.36
Nonaffiliated loan	80	9.86***	10.17***	42	8.95***	9.05***	0.91 1.12

5.4 Table 4: Interest rates by loan type and borrower industry

Read:

- This is the paper's headline pricing table. Average loan rate is 13.9% for nonaffiliated loans but only 6.4% for affiliated loans.
- Net of official bank rates, the average adjusted spread is 7.9 percentage points for nonaffiliated loans and only 0.3 percentage points for affiliated loans.
- Nonaffiliated rates are high across industries, not just in one corner of the sample. Real estate and construction borrowers pay especially high rates, 15.5% on average.
- The table gives direct micro evidence that the official credit market is segmented and underprices or rations credit relative to market demand.

5.5 Table 5: Cost of borrowing for firms that make entrusted loans

Read:

- Lenders that issue bonds borrow cheaply: adjusted bond cost is on average 1.34 percentage points below the official bank loan rate, and even lower for SOE lenders.
- Affiliated loans earn only a modest spread over lenders' own funding cost, around 1.6–1.8 percentage points.
- Nonaffiliated loans earn very large spreads over funding cost, roughly 9–10 percentage points.
- This table shows that entrusted lending is an arbitrage of segmented credit access: privileged firms fund themselves cheaply and relend at much higher market rates.

5.6 Table 6: Industry and geographic distributions of entrusted loans

Read:

- Affiliated loans are mostly within-industry and are not overwhelmingly a real-estate phenomenon. Only about 12.2% of affiliated loan amount goes to real estate and construction.
- Nonaffiliated loans are different: 46.1% of their total amount goes to real estate and construction. This is where the paper's risk concern becomes concrete.
- Geographically, affiliated lending is concentrated in Beijing and Shanghai, while nonaffiliated lending is centered in Zhejiang.
- The net-flow patterns imply capital moves from richer, coastal, financially privileged places toward poorer and more inland provinces.

Table 6
Industry and geographic distributions of entrusted loans.
Panel A shows the amount of loans (in billions of renminbi (RMB)) by lender and borrower industries. Panel B shows the amount of lending and borrowing by province or area. All values are in billions of constant year 2013 RMBs. The sample contains 2900 entrusted loans during the period 2004–2013. We exclude 35 entrusted loans (5.8 billion RMB) with unknown borrowers.

Panel A: Industry distribution						
Industry	Lenders			Borrowers		
	All sample	Nonaffiliated loans	Affiliated Loans	All sample	Nonaffiliated loans	Affiliated loans
Agriculture	0.5	0.5	0.0	1.3	0.6	0.7
Auto and auto parts	48.7	1.9	46.8	46.4	0.4	46.0
Building materials	9.2	0.2	9.0	10.7	1.7	9.0
Chemicals	25.5	5.0	20.5	21.2	1.1	20.1
Coal and mining	248.9	1.8	247.1	257.6	0.7	256.9
Commerce	16.8	9.3	7.5	4.5	1.8	2.7
Conglomerate	7.8	0.6	7.2	11.8	8.6	3.2
Culture and media	5.0	2.9	2.1	0.3	0.2	0.1
Education, finance, and others	0.0	0.0	0.0	2.0	1.0	1.0
Electrical household appliances	3.5	1.7	1.8	2.5	0.6	1.9
Electronics and information technology	10.4	4.0	6.4	5.8	0.8	5.0
Food	11.7	1.0	10.7	10.7	0.3	10.4
Hotel and tourism	1.1	0.3	0.8	4.5	2.5	2.0
Machinery	14.9	1.6	13.3	13.5	0.9	12.6
Nonferrous metal	4.7	1.6	3.1	6.6	0.1	6.5
Other light industry	1.1	0.7	0.4	0.3	0.0	0.3
Paper and printing	7.6	0.3	7.3	7.2	0.3	6.9
Pharmacy	11.5	1.4	10.1	9.7	0.3	9.4
Real estate and construction	53.1	4.2	48.9	99.7	21.9	77.8
Steel	12.1	0.2	11.9	4.3	0.4	3.9
Textile and garment	6.8	2.6	4.2	2.3	0.1	2.2
Transportation	38.5	3.5	35.0	31.5	2.7	28.8
Utility	146.6	2.2	144.4	131.6	0.2	131.4
Total	686.0	47.5	638.5	686.0	47.5	638.5

Province or area	Lenders			Borrowers		
	All sample	Nonaffiliated loans	Affiliated loans	All sample	Nonaffiliated loans	Affiliated loans
Anhui	8.0	2.5	5.5	10.3	2.6	7.7
Beijing	351.9	2.7	349.2	292.8	2.9	289.9
Chongqing	2.7	2.0	0.7	3.1	1.6	1.5
Fujian	6.7	0.3	6.4	5.0	0.7	4.3
Gansu	2.8	0.0	2.8	1.9	0.1	1.8
Guangdong	30.5	3.3	27.2	28.9	1.9	27.0
Guangxi	5.7	0.2	5.5	6.1	1.8	4.3
Guizhou	2.6	0.1	2.5	4.0	0.7	3.3
Hainan	0.8	0.2	0.6	0.2	0.2	0.0
Hebei	27.6	0.5	27.1	18.9	0.7	18.2
Heilongjiang	0.8	0.0	0.8	1.6	0.0	1.6
Henan	5.3	1.2	4.1	7.9	1.2	6.7
Hong Kong	0.0	0.0	0.0	2.7	0.0	2.7
Hubei	5.7	1.1	4.6	11.2	1.5	9.7
Hunan	2.1	1.9	0.2	5.8	2.1	3.7
Inner Mongolia	0.0	0.0	0.0	34.4	0.0	34.4
Jiangsu	16.9	4.3	12.6	39.5	4.8	34.7
Jiangxi	0.7	0.4	0.3	4.5	0.2	4.3
Jilin	0.9	0.2	0.7	1.3	0.0	1.3
Liaoning	3.9	0.1	3.8	10.7	0.2	10.5
Ningxia	0.0	0.0	0.0	1.5	0.0	1.5
Qinghai	1.0	0.1	0.9	0.8	0.2	0.6
Shaanxi	2.5	0.0	2.5	12.0	0.3	11.7
Shandong	45.6	2.4	43.2	24.1	2.4	21.7
Shanghai	82.4	2.9	79.5	69.5	5.3	64.2
Shanxi	2.6	0.0	2.6	8.0	0.0	8.0
Sichuan	3.2	0.2	3.0	10.6	0.5	10.1
Tianjin	11.6	0.5	11.1	6.5	0.3	6.2
Tibet	0.1	0.1	0.0	0.9	0.0	0.9
Xinjiang	2.9	0.4	2.5	0.4	7.3	0.1
Yunnan	1.5	0.3	1.2	7.1	0.4	6.7
Zhejiang	57.0	19.6	37.4	40.1	14.5	25.6
Foreign borrower	–	–	–	0.9	0.0	0.9
Total	686.0	47.5	638.5	686.0	47.5	638.5

5.7 Figure 1: Geographic distribution of lending and borrowing

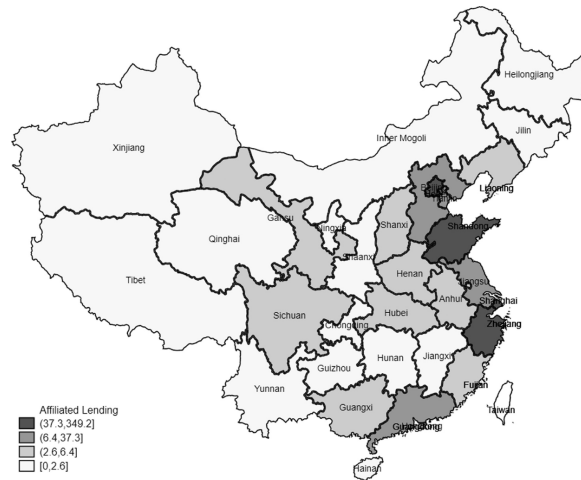


Fig. 1. Geographic distribution of lending and borrowing.

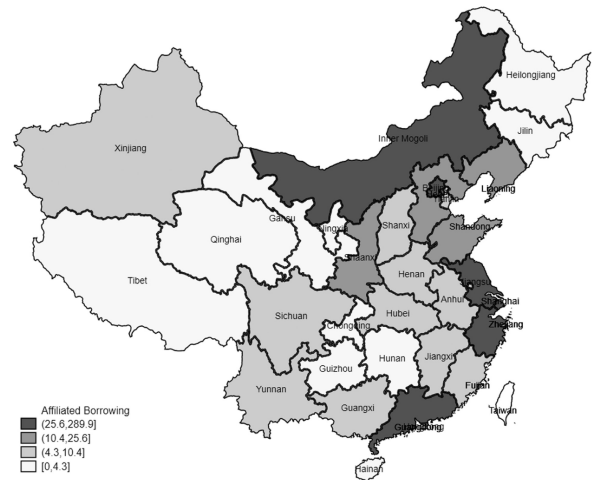


Fig. 1. Continued

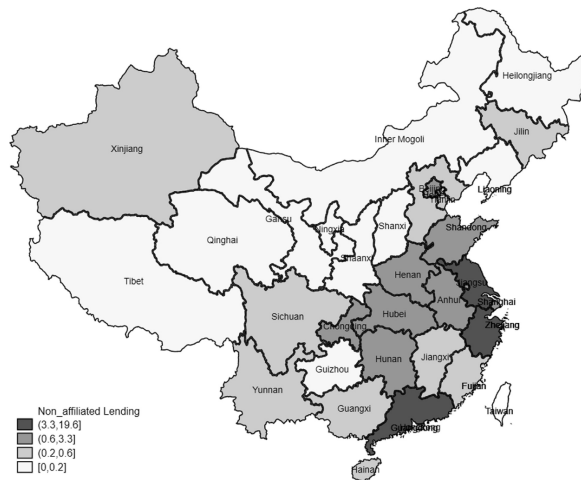


Fig. 1. Continued

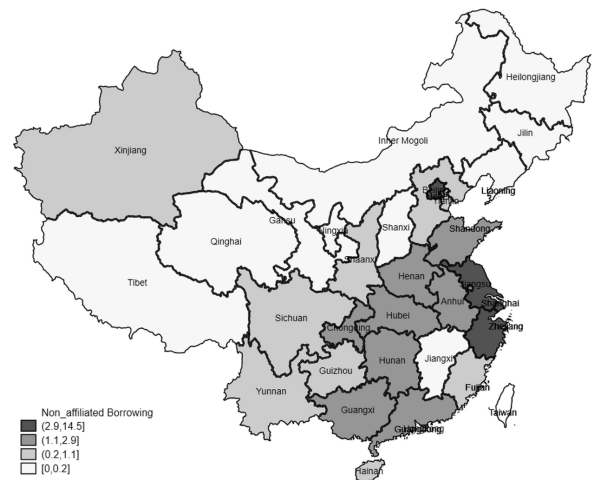


Fig. 1. Continued

Read:

- The figure is really four maps: affiliated lending, affiliated borrowing, nonaffiliated lending, and

Table 7

Descriptive statistics for entrusted loans.

The sample contains 2960 entrusted loans during the period 2004–2013. The number of non-missing observations for *Adjusted interest rate* and *Maturity (months)* are 2812 and 2863, respectively. Variable definitions are in Appendix B. All renminbi (RMB) values are adjusted to constant year 2013 RMBs. Financial variables are winsorized at 1% and 99%. We use *t*-test for differences in means. ***, **, and * denote the difference is significant at the 1%, 5%, and 10% level, respectively.

Variable	All sample	Nonaffiliated loan	Affiliated loan	Difference
Loan characteristics				
<i>Loan amount (millions of RMB)</i>	231.8	80.9	269.1	−188.2*
<i>Interest rate (%)</i>	7.9	13.9	6.4	7.5***
<i>Adjusted interest rate (%)</i>	1.8	7.9	0.3	7.6***
<i>Maturity (months)</i>	16.4	11.8	17.5	−5.7***
<i>Collateral or Guarantee (%)</i>	23.9	74.1	11.4	62.7***
<i>Collateral (%)</i>	18.0	55.4	8.8	46.6***
<i>Guarantee (%)</i>	15.0	55.7	5.0	50.7***
<i>Purpose of loan—debt retirement dummy (%)</i>	2.4	0.0	3.0	−3.0***
<i>Purpose of loan—specified project dummy (%)</i>	5.2	3.1	5.8	−2.7***
Borrower characteristics				
<i>Same city (%)</i>	38.8	51.3	35.7	15.6***
<i>Same industry (%)</i>	66.5	9.7	80.6	−70.9***
<i>SOE borrower (%)</i>	66.3	19.9	77.8	−57.9***
<i>Real estate borrower (%)</i>	21.8	46.0	15.8	30.2***
<i>Borrower industry return volatility high</i>	53.1	66.2	49.8	16.4***
<i>Borrower industry sales growth dispersion high</i>	50.5	67.0	46.4	20.6***
Lender characteristics				
<i>SOE lender (%)</i>	79.5	64.1	83.3	−19.2***
<i>Real estate lender (%)</i>	8.4	4.9	9.3	−4.4***
<i>Assets (billions of RMB)</i>	34.8	13.3	40.1	−26.8***
<i>Debt/assets (%)</i>	22.9	16.0	24.5	−8.5***
<i>Change of debt (%)</i>	7.9	5.2	8.6	−3.4***
<i>N</i>	2960	587	2373	

Table 8

Adjusted interest rate of nonaffiliated loans versus affiliated loans.

This table compares the mean adjusted interest rates between subsamples of loans differing in borrower risk measures. The sample contains 2812 entrusted loans that have interest rate information during the period 2004–2013. Variable definitions are in Appendix B. We use *t*-test for differences in means. ***, **, and * denote the difference is significant at the 1%, 5%, and 10% level, respectively.

Variable	Nonaffiliated loans			Affiliated loans		
	Yes	No	Difference	Yes	No	Difference
<i>Same city</i>	7.2	8.6	−1.4***	0.2	0.4	−0.2*
<i>Same industry</i>	6.0	8.1	−2.1***	0.1	1.3	−1.2***
<i>SOE borrower</i>	4.2	8.8	−4.6***	0.2	0.7	−0.5***
<i>Real estate borrower</i>	9.5	6.6	2.9***	2.8	−0.2	3.0***
<i>Borrower industry return volatility high</i>	9.0	6.7	2.3***	0.5	0.1	0.4***
<i>Borrower industry sales growth dispersion high</i>	8.5	6.8	1.7***	0.8	−0.2	1.0***

nonaffiliated borrowing.

- The maps make the concentration pattern visually obvious. Affiliated lending is dominated by Beijing and Shanghai; nonaffiliated lending is dominated by Zhejiang.
- Borrowing is much more geographically dispersed than lending, especially toward inland regions. That visual pattern supports the paper’s claim that entrusted loans help reallocate capital across regions.

5.8 Table 7: Descriptive statistics for entrusted loans

Read:

- Affiliated loans are larger and longer: average amount 269.1 million RMB versus 80.9 million for nonaffiliated loans, and average maturity 17.5 months versus 11.8 months.
- Nonaffiliated loans require protection much more often: 74.1% require collateral or guarantee, versus only 11.4% for affiliated loans.
- Affiliated loans overwhelmingly stay within industry (80.6%) and go to SOE borrowers (77.8%). Nonaffiliated loans are much more likely to be same-city transactions (51.3%) and much more likely to go to real estate borrowers (46.0%).
- This table is the cleanest descriptive summary of how different the two loan types are.

5.9 Table 8: Univariate relation between adjusted rates and borrower risk

Read:

- For nonaffiliated loans, information proximity matters a lot: same-city borrowers pay 1.4 percentage points less, and same-industry borrowers pay 2.1 percentage points less.
- SOE borrowers pay much less on nonaffiliated loans, 4.2% adjusted spread versus 8.8% for non-SOE borrowers.
- Fundamental risk is priced too: real-estate borrowers and borrowers in high-volatility or high-dispersion industries pay materially higher adjusted spreads.
- Similar patterns exist for affiliated loans, but the magnitudes are much smaller, which already hints that affiliated pricing is less market-like.

5.10 Table 9: Multivariate determinants of entrusted-loan interest rates

Read:

- This is the main pricing table. For nonaffiliated loans, same-city and same-industry status reduce rates substantially, while high-risk-industry and real-estate borrowers pay more.
- The most important economic magnitudes are large: real-estate borrowers pay about 2.5 percentage points more, and SOE borrowers pay about 3.1 percentage points less in the nonaffiliated sample.
- Collateral and shorter maturity show up together with higher spreads, which suggests lenders use several contract margins at once to manage risk.
- For affiliated loans, the signs are similar but much weaker. Ownership and ongoing trade relationships reduce rates, reinforcing the internal-capital-market interpretation.

Table 9
Determinants of interest rates of entrusted loans.
The sample contains 2808 entrusted loans for which the information of interest rate and maturity are available during the period 2004–2013. Variable definitions are in Appendix B. Financial variables are winsorized at 1% and 99%. p-values are based on standard errors double-clustered by firm and year. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	Adjusted interest rate (%)			
	(1)	(2)	(3)	(4)
Panel A: Nonaffiliated loans				
Loan characteristics				
Maturity (months)	−0.13 (0.00)***	−0.14 (0.00)***	−0.15 (0.00)***	−0.11 (0.01)***
Collateral or guarantee	2.40 (0.02)**	2.36 (0.02)**	2.40 (0.01)***	2.36 (0.01)***
Purpose of loan—specified project dummy	−0.74 (0.42)	−0.84 (0.34)	−0.79 (0.31)	−0.41 (0.66)
Borrower characteristics				
Same city	−1.39 (0.01)***	−1.41 (0.01)***	−1.62 (0.00)***	−0.89 (0.12)
Same industry	−2.11 (0.00)***	−1.77 (0.02)**	−1.56 (0.04)**	−2.03 (0.00)***
Borrower industry return volatility high	1.03 (0.01)***			
Borrower industry sales growth dispersion high		1.36 (0.00)***		
Real estate borrower			2.50 (0.00)***	
SOE borrower				−3.05 (0.00)***
Lender characteristics				
SOE lender	0.84 (0.15)	0.80 (0.15)	0.91 (0.11)	0.75 (0.17)
Ln (assets)	0.19 (0.60)	0.20 (0.58)	0.15 (0.63)	0.27 (0.43)
Debt/assets (%)	0.06 (0.05)**	0.06 (0.04)**	0.06 (0.02)**	0.05 (0.12)
Change of debt (%)	0.04 (0.01)***	0.04 (0.00)**	0.04 (0.03)**	0.04 (0.01)***
Year fixed effect	Yes	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes	Yes
N	573	573	573	573
Adj R ²	0.46	0.46	0.50	0.49
Panel B: Affiliated loans				
Loan characteristics				
Maturity (months)	−0.006 (0.25)	−0.006 (0.26)	−0.006 (0.22)	−0.007 (0.22)
Collateral or guarantee	0.67 (0.01)***	0.70 (0.01)***	0.75 (0.00)***	0.64 (0.01)***
Purpose of loan—debt retirement dummy	−0.16 (0.17)	−0.07 (0.55)	0.04 (0.66)	−0.10 (0.41)
Purpose of loan—specified project dummy	−0.81 (0.03)**	−0.81 (0.03)**	−0.63 (0.06)*	−0.82 (0.04)**
Borrower characteristics				
Same city	−0.39 (0.05)**	−0.38 (0.05)**	−0.43 (0.02)**	−0.34 (0.07)*
Same industry	−0.70 (0.02)**	−0.74 (0.01)***	−0.22 (0.14)	−0.76 (0.01)***
Borrower industry return volatility high	0.55 (0.01)***			
Borrower industry sales growth dispersion high		0.42 (0.01)***		
Real estate borrower			2.71 (0.00)***	
SOE borrower				−0.59 (0.23)
Ownership	−1.11 (0.00)***	−1.12 (0.00)***	−1.12 (0.00)***	−1.06 (0.00)***
Trade relationship	−1.45 (0.00)***	−1.54 (0.00)***	−1.31 (0.01)***	−1.78 (0.00)***
Lender characteristics				
SOE lender	−0.14 (0.53)	−0.11 (0.60)	−0.05 (0.82)	0.33 (0.47)
Ln (assets)	−0.31 (0.00)***	−0.30 (0.00)***	−0.30 (0.00)***	−0.30 (0.00)***
Debt/assets (%)	0.01 (0.22)	0.01 (0.25)	0.01 (0.38)	0.01 (0.25)
Change of debt (%)	0.02 (0.00)***	0.02 (0.00)***	0.02 (0.00)***	0.02 (0.00)***
Year fixed effect	Yes	Yes	Yes	Yes
Industry fixed effect	Yes	Yes	Yes	Yes
N	2225	2225	2225	2225
Adj R ²	0.35	0.34	0.41	0.34

Table 10
Performance of entrusted loans.
The sample contains 2243 entrusted loans during the period 2004–2013. We exclude loans that are not due by the end of year 2013. Renminbi (RMB) values are adjusted to constant year 2013 RMBs. We use t-test for differences in means. ***, **, and * denote the difference is significant at the 1%, 5%, and 10% level, respectively.

Panel A: Frequency of loan delinquency or extension or overdue				
Performance of loan	All sample	Nonaffiliated loans	Affiliated loans	Average loan amount (millions of RMB)
Delinquency due to borrower bankruptcy	3	0	3	50.8
Overdue	32	19	13	98.8
Extended (on average by 11 months)	159	45	114	138.6
Total	194 (8.6%)	64 (13.9%)	130 (7.3%)	

Panel B: Adjusted interest rates (%) for nonproblematic loans versus problematic loans						
Type of loan	Delinquent loans (1)	Overdue loans (2)	Extended loans (3)	Nonproblematic loans (4)	(1) - (4)	(2) - (4)
Nonaffiliated loan	n/a	10.2	10.9	7.8	n/a	2.4*
Affiliated loan	0.5	−0.1	0.6	0.3	0.2	−0.4
All sample	0.5	6.1	3.5	1.8	−1.3	4.3***

5.11 Table 10: Performance of entrusted loans

Read:

- Out of 2,243 loans due by the end of 2013, 194 become delinquent, overdue, or extended. The problem rate is 13.9% for nonaffiliated loans and 7.3% for affiliated loans.
- Most problems are extensions rather than outright bankruptcy-related defaults.
- Problematic nonaffiliated loans had higher ex ante adjusted spreads: 10.2% for overdue loans and 10.9% for extended loans versus 7.8% for nonproblematic loans.
- For affiliated loans, ex ante rates do not distinguish problematic from nonproblematic loans. That is exactly the contrast the paper wants to show.

5.12 Table 11: Determinants of loan performance

Read:

- In the nonaffiliated sample, adjusted rate strongly predicts future repayment trouble; the logit coefficient is 0.14.
- Same-city loans are less likely to become problematic, even after controlling for the interest rate. That means geographic proximity contains extra information not fully captured by price.
- In the affiliated sample, the interest rate has no predictive power for problem loans. Trade relationships, however, reduce the likelihood of problems.
- This table is the strongest evidence that nonaffiliated loans are priced more efficiently than affiliated loans.

Table 11

Determinants of loan performance: logistic regressions.

The sample contains 440 nonaffiliated loans and 1636 affiliated loans for which the information of interest rate, maturity, and ownership are available during the period 2004–2013. We exclude loans that are not due by the end of 2013. Variable definitions are in [Appendix B](#). Financial variables are winsorized at 1% and 99%. *p*-values are based on standard errors double-clustered by firm and year. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

Variable	Delinquent or overdue or extend dummy	
	Nonaffiliated loans (1)	Affiliated loans (2)
Loan characteristics		
Adjusted interest rate (%)	0.14 (0.00)***	0.05 (0.36)
Maturity (months)	0.08 (0.01)***	−0.01 (0.50)
Collateral or guarantee	0.37 (0.41)	−0.46 (0.26)
Purpose of loan—debt retirement dummy		−1.01 (0.41)
Purpose of loan—specified project dummy	1.30 (0.00)***	1.18 (0.01)***
Borrower characteristics		
Same city	−0.93 (0.00)***	0.02 (0.93)
Same industry	0.61 (0.41)	0.10 (0.78)
SOE borrower	0.28 (0.59)	−0.48 (0.27)
Borrower industry return volatility high	0.13 (0.81)	0.02 (0.97)
Ownership		−0.56 (0.35)
Trade relationship		−1.61 (0.00)***
Lender characteristics		
SOE lender	0.91 (0.10)*	0.85 (0.11)
Real estate lender	0.12 (0.91)	0.05 (0.92)
Ln (assets)	−0.39 (0.18)	0.11 (0.54)
Debt/assets (%)	−0.000 (0.99)	−0.002 (0.88)
Change of debt (%)	−0.004 (0.82)	−0.003 (0.81)
Year fixed effect	Yes	Yes
<i>N</i>	440	1636
Adj. <i>R</i> ²	0.21	0.06

Table 12

Market reaction to entrusted loan announcements.

The cumulative abnormal return (CAR) is calculated based on the market model, in which the index return of stocks traded on Shanghai and Shenzhen stock exchanges is used as the market proxy and the estimation period is during trading days $[-150, -10]$, where day 0 is the announcement day. Variable definitions are in [Appendix B](#). Financial variables are winsorized at 1% and 99%. We use *t*-test for differences in means. ***, **, and * denote the difference is significant at the 1%, 5%, and 10% level, respectively. *p*-values are based on standard errors double clustered by firm and year. OLS = ordinary least squares.

Panel A: Univariate analysis

Type of loans	CAR [−1, +1] (%)	CAR [−3, +3] (%)	CAR [−5, +5] (%)
Affiliated loans (<i>N</i> = 358)	0.16	0.34	0.47
A firm's first announcement (<i>N</i> = 134)	0.47	0.87	1.36*
Subsequent announcements (<i>N</i> = 224)	−0.02	0.02	−0.06
Difference	0.49	0.85	1.42
Nonaffiliated loans (<i>N</i> = 189)	−0.73**	−1.26**	−1.39*
A firm's first announcement (<i>N</i> = 79)	−1.62***	−2.78***	−3.78***
Subsequent announcements (<i>N</i> = 110)	−0.10	−0.17	0.33
Difference	−1.52**	−2.61***	−4.11***

Panel B: Regressions

Variable	CAR [−5, +5] (%)			
	Nonaffiliated loans		Affiliated loans	
	OLS (1)	Heckman second stage (2)	OLS (3)	Heckman second stage (4)
<i>A firm's first announcement</i>	−4.94 (0.00)***	−4.89 (0.00)***	1.62 (0.00)***	1.51 (0.12)
<i>Ln (loan amount)</i>	−0.04 (0.94)	0.02 (0.98)	−0.44 (0.24)	−0.47 (0.21)
<i>Adjusted interest rate (%)</i>	−0.28 (0.16)	−0.27 (0.16)	0.22 (0.56)	0.21 (0.26)
<i>Maturity (months)</i>	−0.05 (0.59)	−0.05 (0.68)	0.04 (0.03)**	0.04 (0.25)
<i>Collateral or guarantee</i>	−2.07 (0.48)	−2.00 (0.42)	−0.42 (0.53)	−0.50 (0.63)
<i>Inverse mills ratio</i>		0.62 (0.79)		−0.55 (0.75)
Adj. <i>R</i> ²	0.06		0.02	
<i>N</i>	189		353	

Panel C: Heckman first stage

Variable	Heckman first stage (1)	Heckman first stage (2)
<i>Ln (loan amount)</i>	0.46 (0.00)***	0.19 (0.00)***
<i>Ln (assets)</i>	−0.67 (0.00)***	−0.32 (0.00)***
<i>ROA (%)</i>	−0.02 (0.05)**	−0.003 (0.65)
<i>Debt/assets (%)</i>	−0.001 (0.76)	0.002 (0.48)
<i>SOE lender</i>	−0.03 (0.82)	−0.18 (0.03)**
Wald chi ²	56.8	64.9
Sigma	9.71	8.34
<i>N</i>	587	2373

5.13 Table 12: Market reaction to entrusted-loan announcements

Read:

- Affiliated loans generate announcement returns close to zero. The market does not view them as obvious value destruction despite their low rates.
- The average CAR for nonaffiliated loans is negative, but the effect is concentrated entirely in a firm's *first* nonaffiliated-loan announcement. The mean 11-day CAR is about -3.78% for first announcements and about 0.33% for subsequent ones.
- The regression confirms that the “first announcement” indicator drives the negative effect. This supports an information-revelation story: the market learns the lender lacks good opportunities in its main line of business.
- The Heckman first stage shows that larger loans and smaller firms are more likely to issue interim announcements, so modeling selection is necessary.

6 Short summary

- **Conclusion.** Entrusted lending in China is a response to distorted formal credit markets. Large, privileged firms relend funds to less privileged firms, and the activity becomes more important when credit is tight.
- **Intuition.** Affiliated loans behave like internal-capital-market support. Nonaffiliated loans behave like shadow-bank credit intermediation and are priced much more like market loans.
- **Empirical lesson.** The paper's best move is to combine contract-level pricing facts with ex post loan outcomes and stock-market reactions. That three-way comparison makes the institutional story much more convincing.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

- **Main finding.** China's entrusted-loan market channels funds from firms with privileged access to formal finance to firms with weaker access, especially private firms.
- **Magnitude.** Nonaffiliated loan rates average 13.9%, versus 6.4% for affiliated loans and about 6% for official bank loans. Nearly half of nonaffiliated loan amount goes to real estate and construction.
- **Credibility.** The paper's evidence is credible because it is built from mandatory firm disclosures, hand-collected transaction details, ex ante pricing tests, ex post performance tests, and announcement-return evidence.
- **Mechanism evidence.** Affiliated lenders are large, profitable, debt-issuing SOE s that appear to support related parties. Nonaffiliated lenders are cash-rich firms with weaker growth that use entrusted loans as an alternative investment channel.
- **Regulatory implication.** A blanket “shadow banking is bad” view is too crude. Entrusted loans do fund risky sectors, especially real estate, but they also place that risk on relatively well-capitalized corporate balance sheets rather than directly on bank balance sheets.

- **Pricing implication.** Nonaffiliated loans are much more market-disciplined than affiliated loans. The prices reflect fundamental and informational risks, and higher rates predict worse ex post performance.

7.2 Economic intuition

- Regulated bank rates in China are too low relative to market-clearing credit conditions, and bank access is unevenly distributed.
- Firms with privileged balance sheets or state connections can therefore act as shadow intermediaries.
- When the lender and borrower are unrelated, the loan contract has to do more real pricing work, so rates respond strongly to risk and information asymmetry.
- When the parties are affiliated, the loan also serves organizational support goals, so pricing is softer and less informative about future repayment difficulty.

7.3 Takeaway

This is a very useful paper for thinking about shadow banking as an institutional response to formal-sector distortion rather than as a monolithic source of instability. Its most important contribution is the distinction between affiliated support lending and nonaffiliated market lending. Once that split is made, the paper can explain why some entrusted loans look like internal capital markets, why others look like expensive market credit, and why regulation should be more discriminating than a simple crackdown.